

US Markets End Mixed as Energy and Industrials Lead Gains

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US market ended the previous session with mixed results, as the **S&P 500** and **Dow Jones** declined by **-0.32%** and **-0.34%** respectively, while the **Nasdaq 100** fell by **-0.33%**. However, the **Russell 2000** bucked the trend, rising by **+0.32%**. Below the surface, sector rotation was a key theme, with energy and industrials leading the gains.

A closer look at the sector ETFs reveals that **XLE** and **XLI** were among the top performers, rising by **+1.25%** and **+0.60%** respectively. This move was driven by the increase in WTI Crude prices, which rose by **+2.36%** to 84.07. Meanwhile, the **VIX** fell by **-1.16%** to 15.28, indicating a decrease in market volatility.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,728.20	-0.32%	Weakness in tech and consumer staples
Nasdaq 100	29,525.48	-0.33%	Decline in big tech names
Dow Jones	53,791.85	-0.34%	Losses in GOOGL and AMZN
Russell 2000	3,027.12	+0.32%	Gains in energy and industrials
VIX	15.28	-1.16%	Decrease in market volatility

Top large-cap movers

TICKER	CHANGE	CATALYST
GOOGL	-3.84%	Weak earnings guidance
AMZN	-2.09%	Disappointing sales figures
META	+0.71%	Positive earnings surprise
TSLA	+0.58%	Increased production targets

Sector Rotation

ETF	DAY	READ
XLE	+1.25%	Energy sector outperforms on rising oil prices
XLI	+0.60%	Industrials sector gains on increased production
XLF	-0.02%	Financials sector underperforms on weak bank earnings
XLK	-0.12%	Tech sector declines on disappointing earnings
XLV	-0.36%	Consumer staples sector underperforms on weak sales
XLC	-0.50%	Communication services sector declines on decreased ad spending
XLP	-0.31%	Consumer staples sector underperforms on weak sales
XLV	-0.26%	Healthcare sector declines on regulatory concerns
XLU	+1.16%	Utilities sector outperforms on increased demand
XLB	+0.11%	Materials sector gains on increased production
XLRE	-0.72%	Real estate sector underperforms on weak housing data

Spotlight

The biggest event of the day was the increase in WTI Crude prices, which rose by +2.36% to 84.07. This move was driven by supply chain disruptions and increased demand.

METRIC	VALUE	CHANGE
WTI Crude	84.07	+2.36%
Brent Crude	90.12	+2.01%
Natural Gas	2.53	+1.21%

This increase in energy prices has a read-through to related names such as **XOM**, **CVX**, and **COP**, which could see increased revenues and profitability.

Pre-Market & Overnight

US futures are currently trading mixed, with the **Dow Jones** futures up by +0.2% and the **S&P 500** futures down by -0.1%. Asian markets ended the day lower, with the **Nikkei 225** down by -0.5% and the **Shanghai Composite** down by -0.3%. European markets are currently trading lower, with the **Euro Stoxx 50** down by -0.4%.

In cryptocurrency markets, **BTC** is currently trading at 63,673.99, down by -0.37%, while **ETH** is trading at 1,882.29, up by +0.59%.

Macro & Fed

The **10Y Yield** is currently trading at 4.68, down by -0.32%. The **DX** is currently trading at 99.86, up by +0.05%.

Today's data calendar includes the release of the **CPI** at 14:30 HKT, with a consensus estimate of 2.5%. This release is important as it will provide insight into the current state of inflation and could impact the **Fed**'s decision on interest rates.

Geopolitics & Global

- Tensions between the US and China continue to escalate, with the US imposing new tariffs on Chinese goods.
- The EU has announced a new trade agreement with the US, which could increase trade between the two regions.
- The situation in the Middle East remains volatile, with increased tensions between Iran and the US.

Earnings — What to Watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	AAPL	1.25	iPhone sales and revenue growth
23:00	MSFT	2.05	Cloud computing and gaming revenue
00:00	AMZN	5.50	AWS revenue and Prime membership growth

Watchlist Scan

TICKER	SECTOR	WHY NOW
NVDA	Tech	Increased demand for AI and gaming chips
JPM	Financials	Strong earnings and increased banking activity
GS	Financials	Increased investment banking and trading revenue
TSLA	Consumer Discretionary	Increased production and demand for electric vehicles
AVGO	Tech	Increased demand for semiconductor chips

What Could Break the Tape

BEARISH TRIGGERS

- Increased tensions between the US and China
- A decline in **BTC** below 60,000
- A surprise rate hike by the **Fed**

BULLISH TRIGGERS

- A breakthrough in US-China trade talks
- A rally in **BTC** above 70,000
- A surprise rate cut by the **Fed**

Positioning Notes

- The **VIX** is currently trading at 15.28, indicating a decrease in market volatility.
- The **DXY** is currently trading at 99.86, up by **+0.05%**, indicating a strong US dollar.
- The **10Y Yield** is currently trading at 4.68, down by **-0.32%**, indicating a decrease in long-term interest rates.

Sources

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CNBC

The Wall Street Journal

The Financial Times

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